QUANT BEYOND IRR

Kriti

High Prep Submission

Hostel Id **

1 IN-SAMPLE PERFORMANCE ANALYSIS (2010–2020)

This section details the performance metrics for the initial evaluation period (2010–2020) as per the Kriti 2026 reporting requirements. The strategy demonstrates robust wealth compounding and significant downside protection relative to the Nifty 500 benchmark.

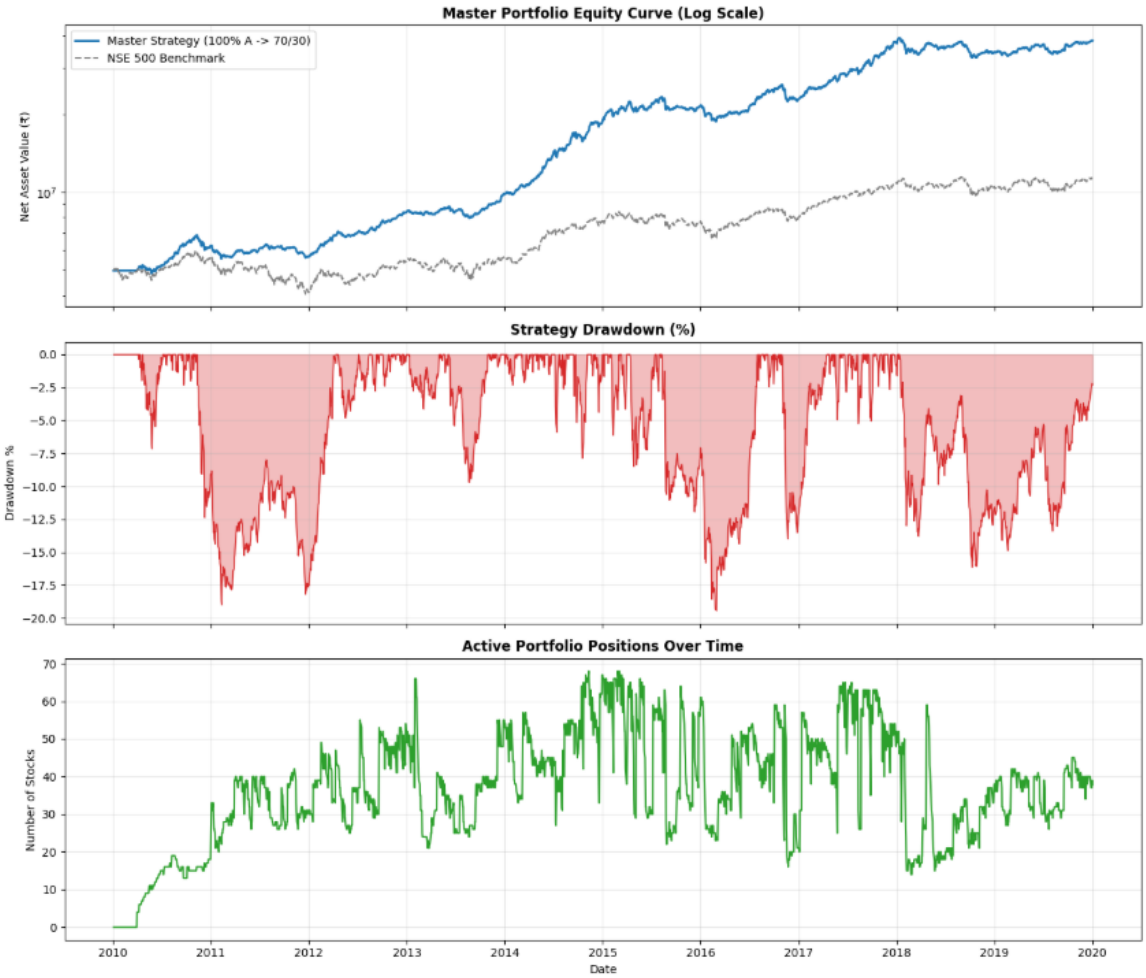

Figure 1: 2010–2020 Performance Dashboard: Equity Curve, Drawdown Profile, and Position Counts.

1.1 Core Performance Metrics

The following core metrics summarize the strategy's efficiency and risk profile during the 2010–2020 window:

- **CAGR:** The strategy achieved a Compound Annual Growth Rate of **22.63%**, reflecting strong wealth generation.
- **Annualized Volatility:** The annualized standard deviation of daily returns stands at **11.41%**, indicating a controlled risk profile.
- **Maximum Drawdown:** Downside risk was well-managed with a maximum peak-to-trough decline of **-19.44%**.
- **Information Ratio vs Nifty 500:** An Information Ratio of **1.10** confirms consistent active return generation relative to market risk.
- **Up-Capture Ratio:** The strategy captured **64.00%** of the benchmark's positive movements.
- **Down-Capture Ratio:** Most notably, the strategy limited exposure to market declines, capturing only **47.00%** of benchmark downside.

1.2 Rolling Performance Analysis vs Nifty 500

To evaluate the stability of the strategy's outperformance, rolling metrics were calculated across 1-year, 3-year, and 5-year windows against the Nifty 500 benchmark.

Window	Avg. Outperformance (%)	Worst Underperformance (%)
1 Year	16.55%	-7.40%
3 Years	77.52%	14.10%
5 Years	202.94%	60.88%

Table 1: Rolling Window Outperformance vs Nifty 500 (2010–2020).

2 CONCLUSION

The 2010–2020 evaluation confirms that the strategy provides superior risk-adjusted returns with a particular strength in capital preservation, as evidenced by the low Down-Capture Ratio and positive Worst Underperformance in longer-term rolling windows.